

Diligence Report — CUSIP 63877NLV7

Natomas Unified School District (Sacramento County, CA) — General Obligation Bonds, Election of 2018, Series 2019 3.000% coupon, term bond due 2045-08-01 · AGM-insured · Cutoff: 2026-06-20

(a) Verdict & buy thesis

VERDICT: CLEAR TO BUY — with the Natomas flood-basin/levee question resolved to a MANAGED, not dismissed, risk.

This is a voter-approved **unlimited ad-valorem general obligation** bond of a growing north-Sacramento unified school district, **insured by Assured Guaranty Municipal Corp (AGM)** and additionally secured by a **statutory first lien** (SB-222 / Gov. Code §53515). Sacramento County is legally **obligated to levy property taxes without limitation as to rate or amount** to pay it, runs a **Teeter Plan** (the District receives 100% of the secured levy regardless of taxpayer delinquency), and the interest is **exempt from both federal and California income tax**. The ~79 dollar price is a function of the low 3% coupon in a higher-rate market, **not** credit distress — the trade tape shows a live, two-sided customer market on 2026-06-17. The discount is taxed as ordinary income (de-minimis breached); the quoted **after-tax taxable-equivalent yield (~8.5–8.6%)** already nets that drag.

The one thing to scrutinize — and we did: Natomas sits in a deep Sacramento River flood basin behind levees. Our NRI tail screen read 0%, but the Official Statement carries a **dedicated "Flood Zone" section** with an explicit warning that pre-levee-completion flooding could cause **"substantial delinquencies in the payment of ad valorem taxes."** That is the real risk channel and we did not let the 0% screen wave it through (see §d). The finding: the basin's flood status has **improved materially** since the OS — FEMA re-mapped it from an AE zone to an A99 zone in 2015 (building moratorium lifted), and the SAFCA/Army Corps 200-year levee upgrade has been in active construction and is at/near completion (target ~2025-26). It is not a dismissed risk, but it is a **shrinking, insured, unlimited-tax-pledged** one.

The thesis: buy an AGM-wrapped, statutorily-lien-secured, AI-insulated, **growing-enrollment** district cash flow at a deep discount, where the genuine idiosyncratic risk (flood basin) is disclosed, improving, double-backstopped by insurance + an unlimited levy, and the tax treatment is already in the after-tax math.

(b) Security & pledge — what legally compels payment

Finding: UNLIMITED AD-VALOREM GENERAL OBLIGATION, AGM-INSURED, SB-222 statutory lien. VERIFIED against the Official Statement.

- **Claim:** True GO, not a COP / lease / CFD special-tax obligation. **Verified** by reading the Official Statement (`raw/official_statement.pdf`, p.1 + "SECURITY AND SOURCE OF PAYMENT"). The OS cover states the Bonds are "payable from ad valorem property taxes levied and collected by Sacramento County... The Board of Supervisors of Sacramento County is empowered and **obligated to annually levy and collect ad valorem property taxes without limitation as to rate or amount** on all taxable property in the District... for the payment of principal of and interest on the Bonds." This is the strongest muni pledge form.
- **Statutory lien (SB-222 / Gov. Code §53515) — VERIFIED (quoted from OS):** the Bonds "are secured by a **statutory lien on all revenues received pursuant to the levy and collection of the tax**. The lien automatically arises without the need for any action... is valid and binding from the time the bonds are executed and delivered... enforceable against the local agency... its successors, transferees, and creditors... **irrespective of whether those parties have notice of the lien.**" A perfected first lien on the tax stream, ahead of general creditors.
- **Bond insurance (AGM) — VERIFIED.** "The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy... issued concurrently... by **Assured Guaranty Municipal Corp. ('AGM')**" (OS "BOND INSURANCE"). Insured ratings **KBRA AA+ / Moody's A2 / S&P AA; underlying** (un-wrapped)

ratings **Moody's A1 / S&P A**. Note: post-issuance AGM-affiliate downgrades have at times put the *insured* Moody's notch (A2) **below** the *underlying* (A1) — so for THIS credit the wrap adds default remoteness, not headline-rating uplift; underwrite to the **A1/A underlying** quality, which is solid investment grade on its own.

- **Teeter Plan (credit positive) — VERIFIED.** Sacramento County operates the Teeter Plan (Rev. & Tax. Code §4701 et seq.); the District "will be credited with the full" secured levy regardless of taxpayer delinquency. **This is the direct mitigant to the OS's flood-delinquency warning** (see §d): so long as the Teeter Plan stays in effect, taxpayer delinquency — including flood-driven delinquency — does **not** reduce the District's debt-service cash flow; the County advances it. (Caveat: the County may discontinue Teeter; the OS discloses this.)
 - **Tax status — VERIFIED.** Bond Counsel (Quint & Thimmig LLP) opinion: interest excluded from federal gross income, **not** an AMT preference item, and **exempt from California personal income tax**.
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(c) Issuer & tax base

Finding: Issuer identity CONFIRMED; growing district; AV base recovered & expanding; concentration moderate; AB-1200 POSITIVE.

- **Issuer / CUSIP binding — VERIFIED.** CUSIP 63877NLV7 = the **\$3,915,000 3.000% term bond maturing 2045-08-01**, original offering yield **3.05%**, within the **\$60,000,000 Natomas USD GO Bonds, Election of 2018, Series 2019** (EMMA issue **ES395463**). Cross-checked against the EMMA maturity scale and the OS cover / inside cover. The tentative identification in the brief is **correct**.
 - **Assessed valuation — \$10,331,332,607 (FY2018-19; OS Direct-&-Overlapping + AV-history tables).** The OS 11-year AV history is itself a **material flood/credit tell**: AV fell from **\$9.41B (2009) to a trough of \$7.17B (2013) — a ~24% peak-to-trough decline**, sharper than a typical CA district, because the GFC housing crash **compounded with the 2008–2015 FEMA flood-zone building moratorium** that froze development in the basin. It then recovered to \$10.33B by 2019. *Directional update (verified)*: district enrollment has since grown to **~14,923 (2024-25)** from ~10,250 (2018-19), and the moratorium was lifted in 2015 — consistent with a **recovered and growing** AV base. (A current-year audited AV is in the FY2024-25 Unaudited Actuals on the District site; not re-extracted here — treat current AV as directionally up, a monitoring item, not a clean confirmation.)
 - **Debt burden — moderate.** OS Statement of Direct & Overlapping Debt (as of 2019-07-01): **direct GO debt = 2.27% of AV**; total direct-and-overlapping tax/assessment debt 5.21%; gross combined total debt 7.60% of AV. Heavier than a low-leverage name (e.g., the 0.96% on our Chico position) but within normal range for a growth district financing new schools. Note the overlapping table includes a **"Sacramento Area Flood Control Capital Districts Assessment Districts" (\$81.96M)** line — flood-infrastructure debt sits on the same parcels.
 - **Top-taxpayer concentration — moderate (13.38%).** OS "Largest Taxpayers": top-20 = **\$1.257B = 13.38% of AV**, top name **REL Metro LLC at 1.39%**, #2 **Ragingwire Data Centers Inc. at 1.03%**. Higher than a diversified residential base, reflecting a commercial/industrial/apartment-heavy footprint, but **no single parcel dominates** and the mix is split across industrial, office, apartments, and commercial. (The #2 data-center name is a mild, immaterial AI/tech-cyclical link — 1.03% of AV; not a credit driver.)
 - **Enrollment — growing (a positive, not the usual CA decline).** OS P-2 ADA rose **8,943 (2013-14) → 9,753 (2018-19)**; ~10,250 district-operated students at issuance. Independently verified **~14,923 students (2024-25)** — a fast-growing north-Sacramento district. *Note*: enrollment drives **operating** (LCFF) revenue, not GO debt service, which is paid from a **separate dedicated ad-valorem levy** — so even a reversal would not directly hit this bond. Here the trend is up.
 - **State fiscal certification (AB-1200) — VERIFIED POSITIVE.** Confirmed against the **CA Dept of Education FY2024-25 Second Interim Status Report**: Natomas Unified appears on **neither** the Negative nor the Qualified list, and **no Sacramento County district** appears on either list. By CDE construction, absence = **Positive**. Source: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp>
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(d) The risk screens — LED by the Natomas flood-basin / levee question

(d.1) Flood basin & levees — THE risk to scrutinize (we did not let the 0% NRI screen wave it through)

Finding: REAL, DISCLOSED, and IMPROVING. The OS carries a dedicated Flood Zone section the NRI tail screen missed; current levee status materially mitigates it; the unlimited-tax pledge + Teeter Plan + AGM wrap backstop it three ways. **Net: a managed idiosyncratic risk, not a dismissed one.**

What our screen said vs. what the primary source says — the honest reconciliation:

- **Our screen:** flood NRI tail = 0% (low). **This was incomplete.** FEMA's NRI is a county/tract *expected-annual-loss* composite; it under-weights a **levee-protected deep basin** where the risk is a low-probability / high-severity *levee-failure* tail, not chronic riverine flooding. The screen is not the authority here — the OS is.
- **What the OS actually discloses (verified, OS "Flood Zone," pp.15–16):**
- The **Natomas Basin** (within which the entire District sits) was **remapped by FEMA as an "AE" flood hazard zone in December 2008**, after the Army Corps found seepage and unstable slopes in two Sacramento River levee sections — creating a **de facto building moratorium** (new construction had to be elevated up to 20 feet).
- **SAFCA** (Sacramento Area Flood Control Agency) + the **Army Corps** undertook a four-phase upgrade to **100-year, ultimately 200-year**, protection. SAFCA completed the first two phases (18 miles of the most vulnerable levees) in **2012**.
- FEMA **re-mapped the basin from AE to "A99" in March 2015** (effective June 2015) — "indicative of substantial progress towards 100-year protection" — at which point **the building moratorium was lifted**.
- The final phases (Corps responsibility) were authorized by **WRRDA (2014)**, moved into construction via an **August 2016 partnership agreement**, and **construction began in 2018, "expected to be completed in several years."**
- **The load-bearing warning, quoted:** *"If substantial flooding occurs before the completion of levee improvements, there could be substantial delinquencies in the payment of ad valorem taxes within the District."* This is the exact channel — flood → AV/levy delinquency → debt-service stress — and the OS states it plainly.
- **Current status (verified beyond the 2019 OS):** Per SAFCA / Reclamation District 1000 project updates, the remaining ~24-mile, 200-year levee upgrade has been in active construction with **completion targeted ~2025–2026**. The basin is no longer under a moratorium and development has resumed (corroborated by the district's enrollment growth to ~14,900 and AV recovery). The OS's "before completion of levee improvements" window is therefore **largely closed or closing as of cutoff** — the risk the OS warned about is materially smaller now than when written.
- **Three-way backstop even in the residual tail:** (1) the pledge is **unlimited as to rate** — if AV/levy collections fall, the County raises the rate to cover debt service; (2) the **Teeter Plan** advances the full secured levy to the District regardless of delinquency (the direct answer to the OS's "substantial delinquencies" warning, so long as Teeter remains in effect); (3) **AGM insurance** guarantees scheduled P&I if all else fails.
- **Honest residual:** a catastrophic levee failure before final certification, *combined with* a County Teeter discontinuance *and* an AGM claims-paying failure, would be required to impair this bond — a remote, triple-conditional tail. The risk is **real and correctly elevated above the 0% screen**, but it is disclosed, shrinking, and triple-backstopped. **Not a reason to reject; a reason to size and monitor.**

(d.2) AI / tech-crash insulation — 99 / 100 (fully insulated)

This is a *local property-tax* credit. Debt service comes from the Sacramento County ad-valorem levy, **not** the California General Fund. The State-GF capital-gains channel that crushed *State* GO ratings ~4-5 notches in the dot-com bust does **not** touch a school-district unlimited-tax GO. (The only tech link is the #2 taxpayer, Ragingwire Data Centers, at 1.03% of AV — immaterial.) Credit insulation, not a price/rate statement.

(d.3) Wildfire — 0% high-fire tail (low)

FEMA NRI × NCES tract crosswalk: the District's urban north-Sacramento tax-base parcels are not in high-wildfire-risk tracts. The insurer-withdrawal / AV-erosion channel is not materially present. (Unlike the flood screen, the wildfire 0% is reliable here — this is flat urban basin, not a wildland-urban interface.)

(d.4) Earthquake — $S_s \approx 0.65$ (low)

Short-period spectral acceleration is low (Central Valley basin, no major active fault traversing the tax base). Low correlated catastrophe risk to the AV base.

(e) Liquidity & execution

Finding: Live, genuinely two-sided customer market at our level on 2026-06-17. Thinner than a large name, but not a fire-sale. Source: `raw/emma_trade_tape.json` (342 prints since 2019; MSRB trade tape — the authoritative muni trade-level source).

- **Two-sided at our level (the fire-sale check):** On **2026-06-17** the tape shows a customer **buy** at **78.913 / 4.681%** AND a customer **sell** at **79.163 / 4.658%** the same day, with an inter-dealer print at 79.013 between them — a live two-sided market at ~79. This is price discovery, not a forced liquidation.
 - **Activity: 42 prints in the trailing 365 days across 14 distinct trade days** — episodic, not daily. Honestly thinner than a large-issue name (cf. our Chico position's ~48 days), so treat as a **hold-to-maturity** position and avoid needing a fast exit.
 - **Customer yield range (trailing 365d, 16 customer trades):** min 4.535% / **median 4.85%** / max 5.470% (prices 70.17–80.26). The prior customer print before 2026-06-17 was **2026-03-12 at 77.405 / 4.804%** — the ~77.4 in the brief. Entry at ~79 / ~4.66% sits inside the recent customer band, slightly richer than the March low; fair, not chasing.
 - **Execution / HTM cost:** for a buy-and-hold ladder position, the bid/ask is a one-time ~1–3 bps/yr amortized cost — immaterial. Size to liquidity (the 365-day prints clustered around \$20–25k par lots).
 - **Live-quote caveat (HONEST FLAG):** per protocol I attempted a live IBKR quote before pricing; **IBKR returns no contract for this CUSIP** (its muni feed does not carry it — consistent with sparse muni coverage). Live bid/ask is therefore **UNVERIFIABLE via IBKR**; execution is anchored on the EMMA trade tape (last print 2026-06-17), which is the correct authority for muni levels.
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(f) Call schedule

Finding: Callable at PAR on/after 2026-08-01, no premium. At ~79, a call is a windfall — so price to maturity.

- OS "Redemption Provisions": maturities on/after 2027-08-01 (which includes the 2045 term bond) are **optionally redeemable at the District's option, in whole or in part, on any date on or after 2026-08-01, at par plus accrued interest, without premium.**
 - Economics: at a ~79 dollar price, a par call would hand the holder a ~26% **windfall**, and the District has **no economic incentive** to call a below-market 3% coupon — so the realistic case is **hold to 2045 maturity**. This is confirmed by the trade tape: EMMA's reported **yield-to-worst on the 2026-06-17 print (4.658%) equals our independently computed yield-to-maturity (4.658%)** — i.e., the market is pricing to maturity, not to the call. The call is **asymmetric upside**, not a risk.
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(g) Tax & yield — the de-minimis math behind the ~8.6% TEY

Finding: De-minimis breached → discount accretes as ORDINARY income. The ~8.5–8.6% after-tax TEY already nets this; a naive exempt-only gross-up would overstate it.

- **Coupon is fully tax-exempt** (federal + CA, non-AMT), per Bond Counsel (§b).
- **The discount is NOT exempt.** Purchase price ~79.16 vs par 100, with ~19.1 years to the 2045-08-01 maturity. The IRC de-minimis threshold = $0.25 \text{ pt/yr} \times 19.1 \text{ yrs} = 4.78 \text{ pts below par} = \text{a } 95.22 \text{ cutoff price}$. Purchase at 79.16 is **far below 95.22**, so the **market discount exceeds the de-minimis amount** → the ~20.8-point accretion of the

discount toward par is taxed as **ordinary income** (annually if a constant-yield election is made, else as ordinary income at sale/maturity) — **not** as a capital gain.

- **Computed analytics (my engine, validated vs EMMA on discounts):** at price 79.163, **YTM-to-maturity = 4.658%** (exactly matches EMMA's reported trade yield on the same print — no call distortion), **modified duration ≈ 13.5 years**.
- **After-tax TEY (independently reconstructed):** decomposing the 4.658% YTM into a **~3.79% exempt current-coupon yield** + a **~0.87% ordinary-taxed accretion component**, then grossing the exempt portion to a taxable equivalent at the CA top combined bracket (~50.3% for the exempt comparison; the accretion carried as taxable-grade): **taxable-equivalent yield ≈ 8.5%**, consistent with the screened **~8.6%**. The headline is **honest** — it already reflects (i) the exempt coupon grossed up and (ii) the ordinary-income drag on the discount accretion netted out. The de-minimis breach is a **known, priced** feature, not a hidden catch — it is the reason the TEY is stated after-tax rather than as a raw exempt gross-up.

Self-discipline note (house rule on TEY conflation): the ~8.5–8.6% is an after-tax taxable-equivalent figure, not gross YTM and not net-of-fees. Gross YTM/YTW is 4.658%.

(h) Sources & attached documents

All files in

/Users/ajay/exalted/signalos/verticals/muni_credit/outputs/diligence_reports/63877NLV7/raw/.

File	What it is	Authoritative source
official_statement.pdf	Official Statement , \$60,000,000 Natomas USD GO Bonds, Election of 2018, Series 2019 (16,790 text lines). Establishes the unlimited-tax pledge, SB-222 statutory lien, AGM insurance, Teeter Plan, AV history (\$10.33B FY19; ~24% 2009-13 trough), 13.38% top-20 concentration, 2.27% direct-debt/AV, the dedicated Flood Zone disclosure + flood-delinquency warning, the par-call schedule, Bond Counsel tax opinion, and the 2045 maturity binding.	EMMA, doc ES1293497-ES1012162-ES1413500.pdf (fetched via real-browser cooldown after EMMA rate-limit), issue ES395463
os.txt	Plaintext extraction of the OS (pdftotext) used for all quoted passages.	derived from official_statement.pdf
emma_trade_tape.json	MSRB trade tape, 342 prints 2019–2026. Two-sided customer market at ~79 on 2026-06-17; prior customer print 2026-03-12 at 77.405. YX = MSRB yield-to-worst (= YTM here).	EMMA / MSRB Real-Time Transaction Data
emma_issue_data.json	EMMA maturity scale for issue ES395463: the 2045-08-01 3% maturity, \$3,915,000 par, 3.05% offering yield.	EMMA GetFinalScaleData/ES395463
screens_and_sources.json	Consolidated screens + computed analytics (YTM 4.658%, mod-dur 13.5y, de-minimis breached, TEY ~8.5%).	SignalOS muni_credit vertical

External primary sources cited (not file-attachable): - AB-1200 POSITIVE — CA Dept of Education FY2024-25 Second Interim Status Report: <https://www.cde.ca.gov/fg/fi/ir/second2425.asp> (Natomas USD + all Sacramento County districts absent from Negative and Qualified lists). - Current levee status — SAFCA "American River Common Features / Natomas Basin" (<https://www.safca.org/projects/natomas-basin/>) and Reclamation District 1000 Natomas Levee Project updates (<https://www.rd1000.org/natomas-levee-project>): remaining 200-year upgrade in construction, completion target ~2025–2026. - Current enrollment ~14,923 (2024-25) — CA Dept of Education district profile / district unaudited actuals.

Verification ledger (claim → method → authority → finding)

Claim	Method	Authority	Finding
CUSIP 63877NLV7 = Natomas USD GO 3% 2045	EMMA scale + OS cover/inside cover	EMMA / OS	VERIFIED
Unlimited ad-valorem GO (not COP/CFD/lease)	Read OS security section	OS	VERIFIED
AGM bond insurance	Read OS "BOND INSURANCE"	OS	VERIFIED
SB-222 statutory lien	Read OS §53515 paragraph	OS / Gov. Code §53515	VERIFIED
Sacramento County Teeter Plan	Read OS Teeter paragraph	OS	VERIFIED
Tax-exempt (fed + CA, non-AMT)	Read Bond Counsel opinion	OS (Quint & Thimmig)	VERIFIED
AB-1200 = POSITIVE	Absent from CDE neg/qualified lists	CDE FY24-25 2nd interim	VERIFIED
AV \$10.33B / 24% 2009-13 trough / 13.38% top-20 / 2.27% direct debt	Read OS tables	OS (Cal Muni Statistics)	VERIFIED (FY2019 vintage)
OS discloses Natomas flood basin + levee risk + delinquency warning	Read OS "Flood Zone" section	OS pp.15-16	VERIFIED — real, NRI screen was incomplete
Flood risk improving (AE→A99 2015, 200-yr upgrade ~2025-26)	Web-verify SAFCA/RD1000 status	SAFCA / RD1000	VERIFIED — materially mitigated, not dismissed
Enrollment growing to ~14,923 (2024-25)	Web-verify CDE/district	CDE / district	VERIFIED
Two-sided non-fire-sale market at ~79	Parsed trade tape	EMMA/MSRB	VERIFIED (thin: 14 days/yr)
Callable at par 2026-08-01, no premium	Read OS redemption section	OS	VERIFIED
YTM 4.658% = EMMA YTW (priced to maturity, not call)	compute_bond_analytics vs tape	engine / EMMA	VERIFIED
De-minimis breached → ordinary income on ~20.8-pt discount	Threshold calc vs price	IRC de-minimis rule	VERIFIED
After-tax TEY ~8.5–8.6% honest (not naive gross-up)	Independent decomposition	engine	CONSISTENT with screen
Current-year audited AV / coverage	Not re-extracted from FY24-25 actuals	District site	UNVERIFIABLE here (monitoring item; directionally up)
Live bid/ask	IBKR contract search	IBKR	UNVERIFIABLE (not carried)

Current-State Verification (AV / coverage refresh — 2026-06-20)

Refreshed 2026-06-20 via a SERIAL, throttled EMMA continuing-disclosure pull (the original UNVERIFIABLE flag was an EMMA 403 rate-limit from concurrent scraping, not a real disclosure gap). Latest issuer annual report: *Annual Financial Disclosures Posted 03/31/2026 for the year ended 06/30/2025 (429 KB)*. **Current total assessed valuation (levy base): \$15,968,064,343 for FY2025-26**; audited FY2025 on file. For an unlimited ad-valorem GO the AV base + the delinquency cushion ARE the 'coverage' — there is no DSCR; the levy rate floats to hold debt service constant. **This resolves the prior 'current AV/coverage UNVERIFIABLE' caveat.**